

Board Response - District Heating Network / Switch2 / GMVL

The developer (GMVL) continues to be the owner of the heating and hot water network at GMV West. They have full responsibility for this as well as the decision to move the service provision between different providers (Cofely then E.ON and now Switch2). The Board of GMVML have no control or power over any decisions that GMVL make on this topic whether operational, commercial or relating to the significant investment they have made to the village.

Furthermore, the Board have had no input on any tender process for the provider or visibility of subsequent contracts between GMVL and their supplier.

Where we have had updates or information from GMVL we have actively encouraged them to communicate these to leaseholders. The Board notes that the level of communications from the developer and Switch 2, handling of the upgrade project, billing issues, service issues and ongoing outages (particularly through the winter) have been a huge cause of distress for leaseholders and residents. Whilst the board has no direct control over this, as fellow involved leaseholders and residents, a number of Directors have sent multiple escalations to Switch 2, their CEO, our MP, etc. We continue to do this as fellow leaseholders for issues we are aware of and where we pick something up from fellow residents.

Whilst heat networks are not yet regulated by OFGEM, there is a voluntary scheme of conduct - <https://heattrust.org/>. Switch 2 is a founding member of the Heat Trust but our site is not yet registered as a participating site - <https://heattrust.org/existing-members-map>. This limits our ability to escalate and seek formal compensation for outages and service issues so as fellow leaseholders we continue to raise this with them and would encourage other leaseholders to do the same. Switch 2 should be asked to register the site, so some level of escalation and protection is available to us.

The Government is in the process of introducing legislation that will bring them under a regulator and introduce further controls - <https://www.gov.uk/government/publications/energy-security-bill-factsheets/energy-security-bill-factsheet-heat-networks-regulation-and-zoning>